10. INCOME TAXES

The Company accounts for income taxes in accordance with ASC 740 which prescribes a recognition threshold and measurement process for financial statement recognition and measurement of a tax position taken or expected to be taken in a tax return. ASC 740 also provides guidance on de-recognition, classification, interest and penalties, accounting in interim period, disclosure and transition. There were no unrecognized tax benefits as of January 1, 2015 and during the years ended December 31, 2016 and 2015.

The Company has identified its federal tax return and its state tax return in New York as "major" tax jurisdictions, as defined in ASC 740. Based on the Company's evaluation, it has been concluded that there are no significant uncertain tax positions requiring recognition in the Company's consolidated financial statements. The Company's evaluation was performed for tax years ended 2013 through 2016. The Company believes that its income tax positions and deductions will be sustained on audit and does not anticipate any adjustments that will result in a material change to its consolidated financial position.

The Company's policy for recording interest and penalties associated with audits is to record such items as a component of income tax expense. There were no amounts accrued for penalties or interest as of or during the year ended December 31, 2016. For the year ended December 31, 2016, the Company determined that, more likely than not, its deferred tax assets would be not be realized and, accordingly, increased the valuation allowance. The increase in the valuation allowance is included in the income tax provision in the accompanying consolidated statement of operations for the year ended December 31, 2016. Management is currently unaware of any issues under review that could result in significant payments, accruals or material deviations from its position.

The provision for income tax consists of the following:

	For the Years Ended December 31,	
	2016	2015
Current:		
Federal	$ (45,000)	$ 8,141
Foreign	58,092	146,372
State and Local	-	-
Total Current	13,092	154,513
Deferred		
Federal	(368,000)	(1,269,000)
Foreign	-	-
State and Local	(54,000)	(187,000)
Adjustment to valuation allowance related to net deferred tax assets	422,000	1,456,000
Total Deferred	-	-
Provision for income taxes	$ 13,092	$ 154,513

The provision for income taxes for the year ended December 31, 2016 of approximately $13,000 is the result of certain licensing revenues that are subject to withholding of income tax as mandated by the foreign jurisdiction in which the revenues are earned partially offset by a Federal income tax refund relating to alternative minimum tax credits. The provision for income taxes for the year ended December 31, 2015 of approximately $154,000 is comprised of approximately $146,000 of certain licensing revenues that are subject to withholding of income tax as mandated by the foreign jurisdiction in which the revenues are earned while approximately $8,000 is the result of certain alternative minimum taxes. The provision related to foreign taxes is deductible, while the provision relating to alternative minimum taxes is able to be offset by future tax benefits. Since the Company records a full valuation against deferred tax assets, the provision relating to alternative minimum taxes of approximately $8,000 will not be reduced by such future tax benefits.

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(Loss) income before income taxes is comprised of the following:

	For the Years Ended December 31,	
	2016	2015
Domestic	$ (1,529,050)	$ 2,466,823
Foreign	288,516	731,860
Net (loss) income before income taxes	$ (1,240,534)	$ 3,198,683

A reconciliation between the effective rate for income taxes and the amount computed by applying the statutory Federal income tax rate to (loss) income before provision for income taxes is as follows:

	For the Years Ended December 31,	
	2016	2015
Tax provision at statutory rate	(34)%	34%
State and local taxes	(5)%	5%
Foreign taxes	(4)%	5%
Foreign tax deduction	2%	1%
Incentive Stock Option Expense	1%	(1)%
Change in valuation allowance for net deferred tax assets	39%	(39)%
	(1)%	5%

The components of temporary differences that give rise to significant portions of the deferred tax asset, net, are as follows:

	For the Years Ended December 31,	
	2016	2015
Deferred tax assets:		
Accrued expenses	$ 56,000	$ 361,000
Allowance for doubtful accounts	3,000	6,000
Deferred Revenue	-	2,000
Reserve for obsolescence	71,000	72,000
Expense associated with non-qualified stock options	121,000	115,000
Revenue Sharing Agreement	430,000	681,000
General business credit	1,222,000	1,258,000
NOL carryforward	16,153,000	15,139,000
	18,056,000	17,634,000
Less: valuation allowance	(18,056,000)	(17,634,000)
Deferred tax asset, net	$ -	$ -

The change in the valuation allowance for deferred tax assets are summarized as follows:

	For the Years Ended December 31,	
	2016	2015
Beginning Balance	$ 17,634,000	$ 16,178,000
Change in Allowance	422,000	1,456,000
Ending Balance	$ 18,056,000	$ 17,634,000

As of December 31, 2016, Andrea had net operating loss and credit carryforwards of approximately $41.4 million expiring in varying amounts beginning in 2018 through 2036. Andrea has General Business Credits of approximately $1.2 million expiring in varying amounts beginning in 2017 through 2032. The Company has elected the “with and without approach” regarding ordering of windfall tax benefits to determine whether the windfall tax benefit did reduce taxes payable in the current year. Under this approach the windfall tax benefit would be recognized in additional paid-in-capital only if an incremental tax benefit is realized after considering all other benefits presently available.